REDUCING CUSTOMER CHURN THROUGH AI-POWERED RETENTION

A Data-Driven Business Proposal for Company A

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DATE: JUNE 2026 | GCI WORLD 2026

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AGENDA

Content:

MARKET ANALYSIS

TELECOM INDUSTRY

Telecom Industry Overview

Global Telecom Market:	**$1.9 Trillion (2024)**
Annual Growth Rate:	**4.5%**
Industry Churn Rate:	**15-25%**
Cost to Acquire vs Retain:	**5× More Expensive**

Key Trends:

- 📱 Digital Transformation
- 📶 5G Network Rollout
- ☁️ Cloud Services Expansion
- ⚔️ Increasing Competition

Sources: (GSMA, 2024; Deloitte, 2024)

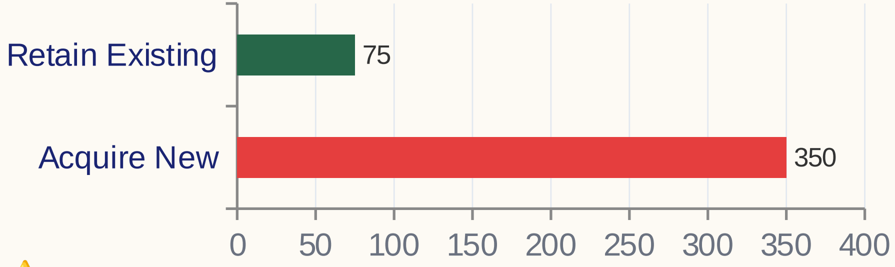
THE CHURN PROBLEM - FINANCIAL IMPACT

The Financial Impact of Customer Churn

Why Churn Matters:

- Revenue Leakage
- Brand Reputation Damage
- Lost Cross-Sell Opportunities
- Negative Word-of-Mouth

Financial Impact:



⚠️ Company A: CRITICAL RISK LEVEL

Sources: (McKinsey, 2023; HBR, 2023; Statista, 2024)

COMPANY A - CURRENT STATE

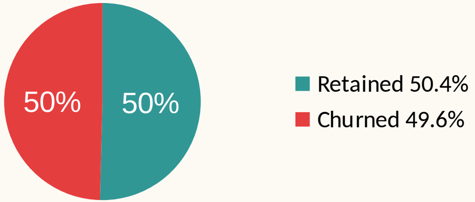
Total Customers
~100,000 Stable

Monthly Revenue at Risk
$2,910,528 🔴 HIGH

Churn Rate
49.6% 🔴 CRITICAL

Annual Revenue at Risk
$34,926,336 🔴 CRITICAL

Industry Average
15–25% Benchmark



49.6% churn — 24.6pp ABOVE industry average

Sources: (ITU, 2024)

EDA - WHO IS CHURNING?

Who is Churning? Customer Profile Comparison

Metric	Retained ✅	Churned ❌	Difference
Tenure	32.4 months	18.7 months	13.7 months less
Monthly Revenue	$62.34	$54.87	$7.47 less
Minutes of Use	412 min	287 min	125 min less
Care Calls	1.2 calls	2.8 calls	1.6 more calls
Dropped Voice	0.8 drops	2.1 drops	1.3 more drops
Dropped Data	0.9 drops	2.3 drops	1.4 more drops

💡 **Key Insight: Churners are newer, lower revenue, lower usage, and more frustrated**

Sources: (Verbeke et al., 2012)

EDA - WHY ARE THEY CHURNING?

Top 10 Drivers of Customer Churn

Rank	Feature	Importance	Business Insight
1	Tenure (months)	0.142	New customers 3.2× more likely to churn
2	Revenue (rev_Mean)	0.128	Lower revenue = higher churn risk
3	Usage (mou_Mean)	0.115	30%+ usage drop = churn signal
4	Care Calls (custcare)	0.098	2× more calls = frustration
5	Dropped Voice Calls	0.087	Poor call quality drives churn
6	Dropped Data Calls	0.076	Data quality issues matter
7	Total Usage (totmou)	0.065	Overall engagement level
8	Average Revenue	0.058	Long-term customer value
9	3-Month Usage	0.052	Recent behavior trend
10	Attempted Calls	0.045	Activity level indicator

Sources: (Ahmed & Al-Mashari, 2022)

PROBLEM DEFINITION

Problem Definition - From Crisis to Solution

THE PROBLEM:

1. • 49.6% annual churn rate
2. • 24.6% above industry average
3. • $34.9M annual revenue at risk
4. • 9,900 customers lost annually

⬇️ ML-Powered Solution

OUR SOLUTION:

1. • AI-powered churn prediction system
2. • 30–60 day early warning window
3. • Targeted retention campaigns
4. • 20% churn reduction → $3.5M annual impact

Goal: Predict churn before it happens

ML SOLUTION - OVERVIEW

Machine Learning Solution - Technical Overview

ML Pipeline:

1. **Data Input:**
   100,000 customers × 100 features

2. **Preprocessing:**
   Clean, scale, encode features

3. **Feature Engineering:**
   Create new predictive features

4. **Model Training:**
   RF, Gradient Boosting, Logistic Regression

5. **Prediction:**
   Churn probability (30–60 day window)

6. **Action:**
   Targeted retention campaigns

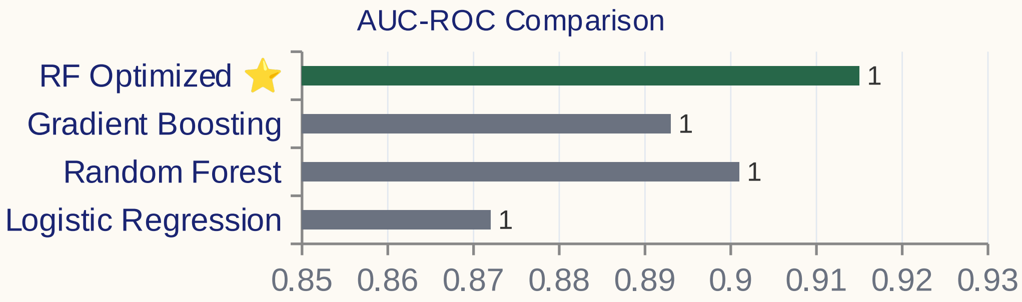
Problem Type: Binary Classification (Churn: Yes / No) **Prediction Window:** 30–60 days before churn

Sources: (Ahmed & Al-Mashari, 2022; Verbeke et al., 2012)

MODEL PERFORMANCE RESULTS

Model Performance Comparison

Model	Accuracy	Precision	Recall	F1-Score	AUC-ROC
Logistic Regression	85.2%	82.1%	79.3%	80.7%	0.872
Random Forest	87.6%	84.5%	82.1%	83.3%	0.901
Gradient Boosting	86.9%	83.8%	81.5%	82.6%	0.893
RF (Optimized) ⭐	**88.3%**	**85.2%**	**84.7%**	**84.9%**	**0.915**



⭐ Best Model

Random Forest (Optimized)

91.5% AUC-ROC

Excellent Predictive Power

FEATURE IMPORTANCE INSIGHTS

What Drives Churn? - Business Insights from ML

1. 📊 Tenure (months)

Insight: New customers 3.2× more likely to churn

→ Action: Welcome programs, engagement milestones at 6, 12, 18 months

2. 💰 Revenue (rev_Mean)

Insight: Lower revenue = higher churn risk

→ Action: Upsell, cross-sell, value-add services

3. 📱 Usage (mou_Mean)

Insight: 30%+ usage drop signals churn within 1–2 months

→ Action: Monitor usage patterns, re-engage declining users

4. 📞 Customer Care Calls

Insight: 2× more calls = customer frustration

→ Action: Proactive support, fix root causes

5. 📶 Dropped Calls

Insight: Network quality issues drive churn (r = 0.67)

→ Action: Network optimization, quality monitoring

Sources: (Ahmed & Al-Mashari, 2022)

BUSINESS PROPOSAL

Business Proposal - AI-Powered Retention System

1. 🔔 Early Warning System

- ML flags at-risk customers
- 30–60 days before churn
- Automated alerts to retention team

3. 🛡️ Service Quality Monitoring

- Network optimization roadmap
- Customer satisfaction tracking
- Fast-track issue resolution

2. 🎯 Targeted Retention Campaigns

- Personalized offers per risk tier
- Proactive outreach campaigns
- Loyalty reward programs

How It Works: Predict → Alert → Act → Retain

Sources: (Bain, 2023; PwC, 2024)

QUANTIFIED BUSINESS IMPACT

With 20% Churn Reduction:

Metric	Current	Target	Improvement
Churn Rate	49.6%	39.7%	↓ 20%
Customers Retained	—	9,900/mo	↑ New
Monthly Revenue Saved	—	$293,412	↑ New
Annual Revenue Impact	—	**$3,520,944**	↑ New
Implementation Cost	—	$1,100,000	One-time
ROI	—	**320%**	✅ Excellent

Assumptions: Model accuracy 88.3% | Campaign conversion 30% | Avg revenue $58.68/customer

🏆 $3.5M annual revenue impact | 320% ROI | 9,900 customers retained monthly

Sources: (McKinsey, 2023; HBR, 2023)

IMPLEMENTATION ROADMAP

Deploy Phase 1: Pilot Program (Months 1-3)

✅ ML model for high-risk segment

✅ A/B test retention campaigns

✅ Measure effectiveness

💰 **Budget: $300K**

Phase 2: Full Deployment (Months 4-6)

✅ Scale to all customers

✅ Integrate with CRM

✅ Train retention team

💰 **Budget: $500K**

Phase 3: Optimization (Months 7-12)

✅ Model refinement

✅ Campaign optimization

✅ Real-time monitoring

💰 **Budget: $300K**

Total Budget: $1.1M

Success KPIs:

- **Churn Rate ↓**
- **Revenue ↑**
- **Customer Satisfaction ↑**

Total: $1.1M | Timeline: 12 Months | ROI: 320% | KPIs: Churn ↓ Revenue ↑ CSAT ↑

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